



Time: 5 minutes

Outcome: Analyze Advertising, Branding & Nonprice Competition.

Difficulty: Intermediate

Advertising, Branding & Nonprice Competition

THE CORE IDEA

Advertising can give buyers product information, persuade them, or build a brand. Information about prices, hours, or features can reduce search costs. Persuasive messages can change preferences or price sensitivity. Nonprice competition also includes quality, convenience, service, and variety.

HOW TO RECOGNIZE IT

- A shoe company introduces custom colors and faster delivery while leaving its posted price unchanged.
- Consumers cannot directly observe product durability before purchase.
- A firm buys a one-time advertising campaign that does not change demand.
- A perfume ad links the brand with status and excitement but provides almost no factual product information.
- A branding campaign leaves the number of buyers unchanged but makes them less price sensitive.

WATCH OUT

Do not treat every advertisement as useful information or as waste. Ask what it tells buyers and whether it changes their ability to compare products.

WORKED EXAMPLE: INFORMATIVE OR PERSUASIVE ADVERTISING?

A pharmacy advertises that a prescription costs \$8 and that it stays open until 10 p.m. Buyers can compare stores more easily, so search costs fall; this is informational advertising. A separate campaign associates the brand with status without adding product facts; that campaign is persuasive advertising. Both compete without directly cutting price.

CHECK YOURSELF

What does nonprice competition mean?